

Tesla, Inc.
TSLA NASDAQ

Hold	\$382.54 ▲ 3.51%	12M Price Target \$420.00	52-Week Range \$297.82 – \$498.83	Market Cap \$1.44T
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TSLA: Bounces Into Earnings, Robotaxi Story vs EV Reality

WHAT HAPPENED

- TSLA bounced 3.5% off yesterday's \$369 low heading into Q2 earnings (reporting after the bell tomorrow). The volume today is notably light (~11M vs 30M+ prior days) — this looks like a technical bounce and short covering, NOT real conviction buying. Options flow is screaming bullish (put/call of 0.47, huge unusual call activity at \$370-\$380 strikes expiring this week) — traders are positioning for an earnings pop.
- The "Terafab" chip fab story is getting attention — Musk floating a massive in-house semiconductor plant for Tesla + SpaceX AI chips. It's vaporware until we see capex commitments, but it plays into the "Tesla is really an AI company" narrative bulls need to justify a \$1.44T market cap.

WHY IT MATTERS

Here's the setup nobody's saying out loud: this is a coin-flip event tomorrow. Auto deliveries were soft in Q2, the \$7,500 federal EV tax credit was killed in the "One Big Beautiful Bill" earlier this month (takes effect Sept 30), and China price wars with BYD are crushing margins. BUT — the entire bull thesis has migrated away from cars to Robotaxi (Austin pilot expanding), Optimus robots, and energy storage. So tomorrow isn't really about the numbers — it's about whether Musk delivers a credible Robotaxi scaling timeline. If he does, the stock runs to \$420+. If he hedges or misses on auto margins badly, we retest \$340 fast because at 178x forward earnings, there's zero margin for disappointment.

POLICY & POLITICAL WATCH

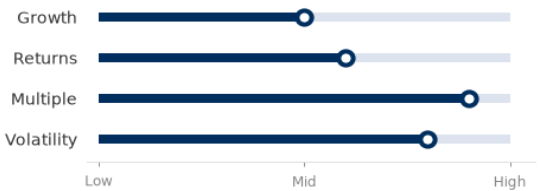
Two huge policy crosscurrents right now: (1) The federal EV tax credit expires September 30 under the reconciliation bill Trump signed — this is a direct headwind that will pull demand forward into Q3 (good short-term print, bad Q4/Q1). (2) BUT — the administration's push to loosen NHTSA autonomous vehicle rules is a massive tailwind for Robotaxi; federal preemption of state-by-state AV regulations would let Tesla scale nationally instead of fighting 50 different rulebooks. Also watch China tariffs — Tesla's Shanghai plant exports to Europe, and any escalation in the US-China trade spat could invite retaliation against Tesla specifically (Beijing has done this before).

IS IT EXPENSIVE?

Key Data

Price (USD)	\$382.54
12M Price Target	\$420.00
Upside / (Downside)	+9.8%
Market Cap	\$1.44T
FY2026E Revenue	\$108M
FY2027E Revenue	\$128M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	178.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$420.00	\$385.00	\$340.00
6 Months	\$475.00	\$400.00	\$310.00
1 Year	\$550.00	\$420.00	\$280.00
2 Years	\$700.00	\$480.00	\$250.00
5 Years	\$1000.00	\$600.00	\$220.00
10 Years	\$1800.00	\$850.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.76% today) is leading on AI capex enthusiasm and easing rate expectations. Energy (+1.98% over 5 days) is running on Middle East oil price pressure. Both indirectly help TSLA — tech via the AI narrative halo, energy via making gas cars less attractive.

COOLING OFF: Consumer Discretionary (-0.88% over 5 days) is weak, which is technically TSLA's sector — signals that big-ticket consumer purchases (cars, appliances) are facing demand pressure heading into the tax credit expiration.

ROTATION WATCH: Money is rotating from broad consumer discretionary into AI-adjacent tech — TSLA benefits from this ONLY if it convinces the market it's an AI stock, not a car stock. Tomorrow's call is the audition.

RELATED PLAY: If you believe the Robotaxi story, the picks-and-shovels play is NVDA (Tesla's Dojo chips still supplement with Nvidia) and lidar/sensor names. If you're skeptical, BYD (BYDDY) is winning the actual car war at 8x earnings vs Tesla's 178x.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): AI infrastructure demand still insatiable — every hyperscaler capex guide up has been a tailwind, and Tesla's own AI ambitions require Nvidia GPUs.
- BYDDY (BYD): Actually growing EV volumes double-digits while Tesla shrinks — winning on price in China, Europe, and emerging markets.

TSLA CONTEXT: TSLA is lagging both the AI leaders (NVDA, etc.) AND the EV leaders (BYD) — it's in an awkward middle where it's not delivering on either narrative right now. That's exactly why tomorrow's earnings call matters more than the numbers: Musk has to pick a lane and convince investors he can dominate it.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$340-360 on post-earnings weakness

Time Horizon: 12-24 months

Thesis Invalidation: Auto gross margins drop below 15% or Robotaxi rollout stalls in 2H26

Hedging: Long BYD or pair with short on legacy autos (F/GM) exposed to same EV credit rollback